



STERLING
RESTAURANTS

STERLING PRINCIPLES

Sterling is the word for fine silver -- 92.5% silver by weight and 7.5% other metals. The word "Sterling" is used to describe character, habits, treatment, and reputation, among other things. This word represents the "best." We want our company to represent fine silver so that everything we do can be done to a level of excellence that upholds the name Sterling.

Sterling is also Mark Monroe's middle name, so as the Founder and CEO, he has lots of pride on the line with our company.

STERLING FAMILY

Each of our restaurants is comprised of a Team/Family of people working together. Each District, each Region, and the Support Center are also Family. We always care for and love our Team Members and our Family. We treat each other as Family. And even though we may **not** always agree, we still maintain professionalism and love for each other. Wherever we go from here, we will all have a little bit of Sterling in us and each of us will have left a bit of ourselves in Sterling.

We want to always stay in touch and build on our Family at Sterling.

THE MANTLE OF LEADERSHIP

When you take on the mantle of leadership, you give up your right to have a bad day. Every day when we walk into one of our restaurants or into the office or into a meeting, we want to do so with a smile and a genuinely happy attitude. We must leave our personal problems and issues at the door. Never bring them to work. As leaders, the most important thing we can do is create a friendly and constructive atmosphere, so we help everyone around us have a "good day."

WE ARE A G-RATED COMPANY

Team Members and Guests are welcomed and promised a courteous and enjoyable environment, free from harassment, obscenity, and intimidation. This applies to all of us – from every role in the restaurants to everyone in our Support Center.

SUPPORT CENTER

Our home office is called the “Support Center.” It is not called Corporate. We are all about supporting everyone who works in one of our restaurants. Every person who does not work in a restaurant is only here to help support those who do. The primary job of the Support Center is to make the jobs of the GM's and AM's easier.

“If you are not serving our customers or serving someone who is serving the customer, there is no place for you in this company.”

Jan Carlzon CEO at SAS

CATERING CALL CENTER

Our Call Center is very important to the success of Moe's. These folks handle all incoming calls for Catering, and lots of other things. They are critical to a smoothly operating Catering business.

11:30 AM – 2:30 PM and 5:30 PM - 7:30 PM

We do not call or email or bother restaurants during these times. Our Teams are focused on taking care of our guests and nothing is more important than that.

QUESTIONS FROM OUR TEAM MEMBERS

When anyone on our team has a question about pay, bonus, or health benefits, we respond immediately to the best of our ability. Sometimes a question may require further research, but our immediate response is to contact the individual to get clarity on the question and give them a time that we will get back to them.

A COMPANY IS KNOWN BY THE PEOPLE IT KEEPS

“A man (or woman) is known by the company he (she) keeps.” Aesop

And here's another take on this . . .

“A company is known by the people it keeps.” Will Rogers

We want to be known as a company of quality people – people who exhibit the Values and Character traits that are important here at Sterling.

VALUES AND BELIEFS

"I firmly believe that any organization, in order to survive and achieve success, must have a sound set of beliefs on which it premises all its policies and actions.

Next, I believe that the most important single factor in corporate success is faithful adherence to those beliefs. And finally, I believe that if an organization is to meet the challenges of a changing world, it must be prepared to change everything about itself except those beliefs as it moves through corporate life."

Thomas Watson, founder of IBM, in a book titled A Business and Its Beliefs.

Our VALUES here at Sterling Restaurants are the foundation stones of who we are and what is important to us. These Values are:

Run It Like You Own It
Elevate Others
Always Do The Right Thing
Live Positive

RUN IT LIKE YOU OWN IT

All of us remember the first time we were given the keys to a store or got that big promotion. This is where the concept of Run It Like You Own It comes into play. We want to always live this Value to the extent that we will truly make every decision as if we "Own It."

- With this attitude of ownership, we expect our salaried Managers to work 5 days each week. Managers do not work "doubles" or a 4-day week.
- We expect GM's to work at least one night shift per week and at least one weekend per Period.
- We expect AM's to get at least one full weekend off each Period.
- Salaried Managers are expected to work a 50-hour week, but we do not manage the exact hours that a Manager works. We believe that all our salaried Managers are professionals who will not abuse this freedom. However, if this does lead to people taking advantage, we will make changes.
- At the same time, we encourage good Work/Life balance. Each Manager must be sure the store is staffed so that he/she doesn't have to continually

work extra hours.

ELEVATE OTHERS

Growing people is what we really do here at Sterling Restaurants. Yes, we serve food and develop restaurants, but our real job is helping people grow. We want to help everyone grow and develop their capabilities so that they can move forward in life.

ALWAYS DO THE RIGHT THING

When faced with any decision, all we have to do is reach down inside ourselves and ask the question, "what is the right thing to do in this situation?" Most of us will immediately know the answer. It shouldn't need a lot of analysis and thought. Just Do The Right Thing.

LIVE POSITIVE

Every day must be a Positive Day. Always believe that things will get better. Always believe that things will work out. A positive attitude has to be an all-pervasive everyday thing. We always believe the best about people and future results.

PEOPLE

"Get the right people on the bus." Jim Collins in the book, Good to Great.

We want to hire people who SMILE, who have ENERGY, and EXPERIENCE. The SMILE comes first. If a potential Team Member does not smile when you first meet them, you probably don't want them on your team. The "right people" will allow your restaurant or team to operate as a well-oiled machine. They will help you drive positive Comp Sales. They will help you hit Food Cost and Labor Cost. They will want to grow with you. We are in the People growing business.

LEADERSHIP

Create an environment where people motivate themselves to achieve mutually beneficial goals.

SERVING

Leadership is about serving others. Serve them by making things easier for your team.

A PLAYERS

Surround yourself with A Players and give them opportunities to succeed. Hire people who are better, smarter, more driven, and leave them to get on with it.

STRENGTHS

Play to your strengths. Spend your time doing what you do best and allow others to do what they do best.

BUILDING YOUR TEAM

As leaders, we must each assemble a group of people around us who complement us and make us better. Play to your strengths. Spend your time doing what you do best, and then surround yourself with people who complement your strengths. Your team should include: Numbers Nerd, Neat Freak, Team Coach, and a Community Ambassador.

What are you best at? Who on your team fills these other roles?

- NUMBERS NERD - This person will help you hit Food Costs, Labor Costs, take inventories, and manage the P & L. In non-operations departments, this person will manage timelines, follow-up on details, and keep everyone on track.
- NEAT FREAK – This person will help keep your restaurant clean and organized.
- TEAM COACH – This person will hire the right people, train them, and help maintain the culture. They will know each Team Member well and will check in with them regularly just to see how they are doing.
- COMMUNITY AMBASSADOR - This person will bond with your guests, will know their names, will visit schools and companies, and will drive Catering.

GROWING YOUR PEOPLE

Build your life by helping other people grow.

- When our focus is on growing people, people grow the business.
- When we think more about how the business can help and serve people, the more people we will eventually help and serve.

- When we think more about the customer than we do the business, it is the best way we can think about the business.
- When we are thinking about our customer, we are thinking about the business.

PROVERSTY

“Rather than focusing on the diversity - or differences - among workers, we should instead adopt a more unifying approach and focus on Proversity, the characteristics that people in our organization have in common.” Lawrence Otis Graham

Proversity is the action of bringing together individuals who appear different, but who have many common characteristics and who may look different on the exterior but are actually quite similar.

We want people who believe in our Sterling Values and want to be part of a winning team. Period. Nothing else matters.

“We want people of every gender, race, ethnicity, religion, sexual orientation, accent, handicap, family social status, age, marital status, political party affiliation, rank in company, and national origin. And we want people with a good work ethic, good energy, knowledge, creativity, motivation, sincerity, positive outlook, collaborativeness, curiosity, maturity, and integrity.” Lawrence Otis Graham

LOVE

Care for and love your people.

COMPENSATION

We always compensate our people at fair market prices or better. We want to be the best and are willing to pay for that.

SAFETY

Nothing is more important than the safety of every Sterling Team Member and our Guests. We always provide a safe and healthy environment for everyone.

EMPLOYEES STAY WHEN THEY ARE:

- Paid Well
- Mentored
- Challenged
- Promoted
- Involved
- Appreciated
- Valued
- On a Mission
- Empowered
- Trusted
- Provided the proper tools
- Provided a positive, supportive working environment

POSITIVE REINFORCEMENT

"Catch someone doing something right." Ken Blanchard

We are not a company of people playing "gotcha." Yes, we all want to improve and do things right, but we want to support and emphasize "doing something right" rather than always finding fault. We want to give recognition and support. We want to be caring and loving, and reinforce good behavior.

GIVE PRAISE AND RECOGNITION

Share individual, specific praise with one person at a time.

KNOW YOUR PEOPLE

*"Your people don't care how much you know
until they know how much you care."* Theodore Roosevelt

Work beside them. Show genuine interest in them as a person, exclusive of the job. Ask them questions about their world, their interests, their problems, and their aspirations.

TEACH THEM SOMETHING NEW EVERY DAY

Use your time with your people to share something with them that will broaden their education. It may be something small or something big; but whatever it is, they will appreciate it.

ASK FOR FEEDBACK

Ask your people:

- What can we do better around here?
- What would you like to see us do differently?
- What can I do better?

When you ask these questions with genuine interest, you will find that your people will take more interest in the business.

CLEAR RESPONSIBILITIES

Be sure that everyone understands their role and their individual responsibilities. Clarity removes uncertainty.

LET THEM MAKE MISTAKES

It's okay to make mistakes. Sometimes that is how people learn best. Let them figure things out for themselves.

NEW ASSOCIATES

Anyone hired by Sterling, regardless of title or responsibilities, will spend at least one week working and training in one of our restaurants.

BACKGROUND CHECKS

We perform in-depth background checks on any person hired in a management or salaried capacity.

CUSTOMERS ARE OUR GUESTS

"The customer is always right." John Wanamaker

At Sterling we believe this slogan . . . even when the customer is wrong. We always make it right for the customer. We never argue with the customer. We don't challenge them on the use of water glasses, coupons, or anything else for that matter. We give them refunds with a smile. We never let them leave unhappy. Yes, we know that some people will take advantage of us. That's okay.

When we send an unhappy guest away, they will tell eleven of their friends. That guest and all eleven of their friends will never visit our restaurants. So, we will have lost a lot of potential business, just because we were worried over a few pennies.

Give them what they want! We never say No to a guest.

WE ACCEPT ALL COUPONS

We will honor any coupon that a guest presents to us. It could be an expired coupon, a competitor's coupon, or a grocery store coupon. We always figure out how to make the guest happy.

PRODUCTS

We want to serve the highest quality Products that fit our customer needs. We want to give our guests the perfect Homewrecker, the perfect Stack, the perfect Taco, the perfect Quesadilla, and all the rest of our menu. It is our job to execute to the highest possible standards.

PROMOTION

This is about Marketing, Advertising, Public Relations, Pricing, and Local Store Marketing. This is who we are. We use all possible Promotion strategies and tactics to drive our business. We don't just sit around and wait for guests to come in. We don't just wait for the Marketing Team to come up with ideas. We go after potential guests aggressively. It is up to each of us to be excellent Local Store Marketers.

PRODUCTIVITY

This is about labor efficiency. Focus on what gets results. Eliminate the unnecessary. Productivity is at the root of everything we do. Our job is to help everyone be more efficient. We must always look for anything that will improve Productivity. Ask questions. Can a different piece of equipment make us more efficient? Do we really need this report? Do we need this meeting? How can we reduce steps in the restaurant? We must look at everything through the prism of Productivity.

PROCESSES

All of our Processes must be simple, effective, and produce results. All of us need to look at every process and look for improvement. Then get rid of extraneous processes. What's working? What's not working? The difference between Good and Great is that the Great never stop trying to improve processes.

PROFITABILITY

Profits are a good thing. From PROFITS come pay increases, bonuses, more hours, opportunities, growth and the ability to Give Back.

PERSONAL RELATIONSHIPS

We never have personal relationships with our Team Members.

REPORTING NUMBERS

We always report numbers accurately. No fudging the numbers!

CASH MANAGEMENT

We meticulously look after our cash. We make deposits on time. We never use company money for personal use.

PLEASE, THANK YOU, AND MY PLEASURE

We use these terms frequently and passionately with our guests and each other.

WE ARE PROFESSIONALS

We look and act like Professionals at all times in action, in words, and in appearance. Whether we are in a restaurant, the bank, a grocery store, or with vendors, we maintain the highest level of professionalism.

VEHICLES

All Salaried Managers are expected to have their own transportation. Having personal transportation is a key part of being a professional.

ON TIME

We are always on time for meetings whether they are in-person, phone or Zoom. Being on time is honoring your team members and others who attend a meeting.

WE NEVER CRITICIZE OUR TEAM MEMBERS OR OTHER FRANCHISE OWNERS

OTHER FRANCHISE OWNERS

We never compete with other Moe's Franchise Owners. We are partners with all of them as we build this brand together.

HAND-WRITTEN SIGNS

We never put up hand-written signs in our restaurants. This is very unprofessional. If you think you need a sign, ask for help or create one yourself and print it out.

REPAIRS AND MAINTENANCE

We always keep our equipment and our restaurants in a good state of repair. If it's broke, fix it!

VENDORS AND SUPPLIERS

They are partners in our efforts to run great restaurants. We keep our number of Vendors and Suppliers to a minimum and we do not shop around for individual items.

WE ARE COMMITTED

We are reliable, accountable, and have a Whatever It Takes attitude.

We have firmness of mind, unyielding courage, and mental toughness.

WE USE OUR RESOURCES WISELY

Our biggest resource is our people. When we are not staffed properly, we give poor service to our guests, we save too many hours on the Labor Matrix, and we don't live up to our promises.

GOOD JUDGEMENT

Use good judgement at all times to make the best decisions possible. Don't be afraid to get input from others.

DON'T CONFUSE PROBLEM SOLVING WITH DECISION MAKING

*"Never bring the problem-solving stage into the decision-making stage.
Otherwise, you surrender yourself to the problem rather than the solution."*
Robert Schuller

COMMON SENSE

We believe in using common sense along with the analytics of any decision.

MEASUREMENTS

What gets measured improves.

UNDER PROMISE AND OVER DELIVER . . . ALWAYS!

ESTABLISH CREDIBILITY

Character + Competence = Credibility

SAY WHAT YOU THINK (SWYT)

As I often say, "I don't need you to tell me what you think that I think. I already know what I think. I want to know what you think."

DO WHAT YOU SAY (DWYS)

We want everyone to always do what they say they will do. When you "do what you say," you will build trust and credibility with everyone around you.

YOUR MISTAKES

Everyone makes mistakes. Admit them easily, correct them, and don't repeat them.

TELL THE TRUTH . . . ALWAYS

We do not tolerate lying of any kind. Don't try to cover up a mistake with a lie. We do not lie to our guests, our Team Members, our bosses, each other, and definitely not to ourselves.

WHO GETS THE CREDIT?

"There is no limit to what a person can do or where they can go if they don't mind who gets the credit." Robert Woodruff, Founder of The Coca-Cola Company

WE ARE CONTINUAL LEARNERS

We never stop learning. We constantly broaden our experience and our horizons. We look for ways to help each other learn.

OPPORTUNITY

All of life is preparation for the next opportunity.

CONTINUOUS PERSONAL IMPROVEMENT

"The only job security you have today is your commitment to continuous personal improvement." Ken Blanchard

PERSONAL GROWTH

*"When you are green, you are growing.
When you ripen, you start to rot."*
Ray Kroc, Founder of McDonald's

SUCCESS

"Success is the peace of mind which is a direct result of self-satisfaction in knowing you did your best to become the best that you are capable of becoming."
John Wooden - Basketball Coach at UCLA
10 NCAA Championships in 12 Years

IMPACT

The final yardstick by which your life will be measured is the impact you make on those around you.
